

Denominator Blindness

DENOMINATOR BLINDNESS is the failure to put any number—especially big, scary ones—into context. Examples of this occur every time you see headlines like: Stocks Drop 300 Points; ABC Fund Loses \$879 million; XYZ Corp Cuts 3,000 Jobs.

The top number in any fraction is called the “numerator,” and it tells you what change took place; the bottom number in a fraction is the “denominator,” and it indicates what data set we are discussing (could be markets, or employees, or an investment fund). As we shall see, sharing just the numerator, but not revealing the denominator, is inherently misleading.

Headlines that provide only a numerator are giving a partial picture that is essentially useless.

Let’s use the examples above but instead of only sharing the numerator we will show the full context: The fund that lost \$879 million—were its total assets \$1 billion or \$100 billion? Asked in terms of percentages, did they lose 90%—a rout that demolished its investors? Or was it less than a 1% drop, no more than daily trading noise? Based on the headline, you don’t know, and without that context, all you see is a big scary number. You cannot tell if it is meaningful without information about the denominator.

A company that fired 3,000 people sounds like a huge downsizing. But is it? We don’t know how significant it is to the company until we know their total workforce. Was it a small, regional company that employed 30,000 people? That’s a 10% reduction in its workforce, and very substantial. What if it’s retail giant Walmart, with 10,500 stores in 19 countries employing 2.1 million employees? It means they fired less than one person at every third store—not meaningful at all...

The 300-point market drop is perhaps my favorite example: If that’s referring to the Dow Jones Industrial Average, trading at ~40,000 as I write